

Technical Analysis II

Indicators & Patterns

Explained so simply a 10-year-old gets it

The helper tools you add on top of price — trend, momentum, volatility and volume — plus the classic shapes that tend to repeat. Sharpen timing without drowning in "indicator soup."

Stock Market Mastery Roadmap • Intermediate Level
Educational only — not investment, trading, or tax advice.

In Chapter 8 you read raw price. Now you add **helper tools** on top — **indicators** (little calculators drawn on the chart) and **patterns** (shapes that tend to repeat). Used well, they sharpen your timing. Used badly, they just make noise. Let's use them well.

Trend tools: which way is the river flowing?

- **Moving Average (SMA / EMA)** — the **average price** over N days, drawn as a smooth line. It shows the *direction* and smooths out the daily noise. **EMA** reacts faster than **SMA**.
- **MA crossover** — when a fast average crosses a slow one — a simple "trend may be turning" signal.
- **ADX** — a "how strong is the trend?" meter. High ADX = strong trend; low ADX = drifting sideways.

Momentum tools: how fast is it moving?

Oscillators swing between limits to show if a move is running out of steam:

Tool	What it measures	Simple read
RSI	speed & size of recent moves (0–100)	very high = tired up-move; very low = tired down-move
Stochastic	where price sits in its recent range	near top or bottom of the range
MACD	two moving averages' gap & momentum	crossovers hint at momentum shifts

DIVERGENCE: THE EARLY WHISPER

Divergence is when **price makes a new high but the momentum tool does NOT** (or a new low without a new low in momentum). It's like a car still rolling forward while the engine quietly cuts out — an **early warning** the move is weakening. Treat it as a *heads-up*, **not** a buy/sell button by itself.

Volatility tools: how wild is it?

- **Bollinger Bands** — elastic bands around price that **widen when wild, squeeze when calm**. A tight squeeze often comes *before* a big move.
- **ATR (Average True Range)** — a number for **how much price typically moves** in a day. Super useful for stops (next box).

ATR TURNS "WHERE'S MY STOP?" INTO A NUMBER

Instead of guessing your safety-exit, use **ATR**. If a stock swings about ₹10 a day (its ATR) and you place your stop **1.5× ATR** away (₹15), you're giving it **room to breathe** so normal jiggles don't stop you out — an **objective** distance, not a random guess.

Volume tools

- **OBV (On-Balance Volume)** — adds volume on up-days, subtracts on down-days, to show if **buyers or sellers** are quietly winning.
- **Volume profile** — shows **which price levels had the most trading** — the busy shelves where price often reacts.

Chart patterns: shapes that tend to repeat

Pattern	Usually hints at...
Head & Shoulders	a top forming — trend may reverse down
Double top / bottom	price fails twice at a level — possible reversal
Triangles	price coiling tighter — a breakout is brewing
Flags	a short pause inside a strong move — often continues
Cup & handle	a rounded base then small dip — bullish continuation

Pattern	Usually hints at...
Wedges	a slanted squeeze — hints at a reversal or exhaustion

Fibonacci & pivots: measuring the pullback

- **Fibonacci retracement** — common "rest stops" (like 38%, 50%, 61.8%) where a pullback often pauses before continuing.
- **Fibonacci extension** — projects **how far** a move might travel — handy for targets.
- **Pivot points** — pre-calculated daily support/resistance levels many **intraday** traders watch.

Key ideas to remember

- **Right tool for the weather.** Trend tools (MAs, ADX) shine in **trending** markets; oscillators (RSI, Stochastic) shine in **ranging** ones. Using a trend tool in a range (or vice-versa) gives false signals.
- **Indicators lag or oscillate** — they're *made from* price, so they follow it. They **confirm**, they don't predict.
- **Divergence is a warning, not a trigger** — wait for price itself to confirm before acting.
- **Avoid "indicator soup."**  Three confirming tools is plenty; **ten** is just confusion painted on a chart.

PRACTICAL EXERCISES

-  **Backtest one simple rule by hand** on **50 historical setups** (e.g., *pullback to the 20-EMA in an uptrend with an RSI reset*). Record the **win rate** and **average R**.
-  **Swap fixed-point stops for 1.5× ATR stops** on **20 charts** and compare how often you'd have been **stopped out too early**.
-  **Spot 5 momentum divergences** and mark whether price **actually reversed** afterward.

REAL-WORLD APPLICATION

-  This is the **core toolkit for swing and intraday entries** — and for **timing option trades around events**, where getting the *when* right matters as much as the *what*.

INTERMEDIATE MISTAKE: CURVE-FITTING

Tweaking indicator settings until they perfectly fit *past* data is called **curve-fitting** — and it's a trap. If a rule only works with **oddly specific** settings (RSI period 13.5, on Tuesdays...), that's **noise**, not skill. Prefer **robust, simple rules** that work across **many instruments and time periods**.

ONE-LINE SUMMARY

Layer a few helper tools on price: **trend** (MAs, ADX), **momentum** (RSI, MACD — watch for **divergence**), **volatility** (Bollinger, **ATR** for stops), and **volume** (OBV). Read **patterns** and **Fibonacci** for entries and targets. Match the tool to the **market's weather**, keep it **simple** (**≤3 tools**), and never **curve-fit** the past.